

even. He calculated that this was unlikely. Even if Wells Fargo earned no money for a year, that would not be distressing. “At Berkshire,” Buffett said, “we would love to acquire businesses or invest in capital projects that produce no return for a year, but that could then be expected to earn 20% on growing equity.”⁴² The attraction of Wells Fargo intensified when Buffett was able to purchase shares at a 50 percent discount to value.

“Banking doesn’t have to be a bad business, but it often is,” Buffett said, adding that “bankers don’t have to do stupid things, but they often do.”⁴³ He describes a high-risk loan as any loan made by a stupid banker. When Buffett purchased Wells Fargo, he bet that Reichardt was not a stupid banker. “It’s all a bet on management,” said Charlie Munger. “We think they will fix the problems faster and better than other people.”⁴⁴ Berkshire’s bet paid off. By the end of 1993, Wells Fargo’s price per share had reached \$137.

American Express Company

“I find that a long-term familiarity with a company and its products is often helpful in evaluating it,” Buffett said.⁴⁵ With the exception of selling bottles of Coca-Cola for a nickel, delivering copies of the *Washington Post*, and recommending that his father’s clients buy shares of GEICO, Buffett has had a longer history with American Express than any other company Berkshire owns. You may recall that in the mid-1960s, the Buffett Limited Partnership invested 40 percent of its assets in American Express shortly after the company’s losses in the salad oil scandal. Thirty years later, Berkshire accumulated 10 percent of American Express shares for \$1.4 billion.

Tenet: Consistent Operating History

Although the company has weathered a cycle of changes, American Express is essentially the same business it was when Buffett first purchased the company in his Partnership. There were three divisions. Travel Related Services (TRS), which issues the American Express charge card and American Express Travelers Cheques, contributed about 72 percent of